



PARTNERSHIP

In a partnership firm, we own a particular percentage of the business, say 25%, 33%, 50% and so on. The treatment is same as that of sole-proprietorship, except the fact that we need to multiply the numbers by our percentage of partnership. If we are a 50% partner, we will add 50% of business assets in our personal balance sheet, 50% of liabilities and 50% of net profits in our balance sheet and income statement respectively. Even if the firm does not distribute the entire profit and re-invests, we will still count our entire share of net profits in the personal income statement.

BUSINESS BALANCE SHEET

Liabilities	Assets
 Loans of INR 20,000	 Assets of INR 80,000

PERSONAL BALANCE SHEET

Liabilities	Assets
 Loans of INR 10,000	 Assets of INR 40,000



BUSINESS INCOME STATEMENT

Income	
Expenses	
Profit / Loss	INR 50,000

PERSONAL INCOME STATEMENT

Income	 Business Profits of INR 25,000
Expenses	
Profit / Loss	



$$(\text{BUSINESS ITEM}) \times \text{PARTNERSHIP \%} = (\text{PERSONAL ITEM})$$